

How are you, on your own, going to match the diverse package of opportunities a mutual fund can uncover?

Mutual funds traversing the globe to build corporate and broker relationships can dig up investments that a private investor could never hope to find.

The Rewards

The payoff for all this globe-trotting in search of the overlooked and misperceived? If the long-term return from U.S. stocks is about 10 percent annually and you hope to find a manager who can earn you better than that—12 to 15 percent on average is a reasonable goal—I'd say you can, without being overly aggressive, hope for 17 or 18 percent a year, on average, with your foreign stocks over time. That would be a very handsome return indeed.

A combination of U.S. and non-U.S. stocks produces a higher return *with less risk* than a 100 percent U.S. portfolio.

What's more, a recent study, conducted by Morgan Stanley Capital International, showed that a combination of U.S. and non-U.S. stocks produced a higher return *with less risk* (the proverbial free lunch may be attainable after all) than a 100 percent U.S. portfolio. The allocation that promises the highest return with least risk